Question 1

Southampton plc

The financial accountant at Southampton plc (Southampton) has been having difficulty constructing the statement of cash flows for the year ended 31 December 20X2 in accordance with IFRS Accounting Standards.

Information relevant to the statement of cash flows is included in the appendix.

Required:

1. Construct, showing all workings, Southampton's statement of cash flows for the year ended 31 December 20X2 in accordance with IAS 7, using the direct method.

(23 marks)

2. Construct, showing all workings, the operating section of Southampton's statement of cash flows using the indirect method.

(7 marks)

Note: Ignore deferred tax.

Appendix – Information relevant to the statement of cash flows

Southampton plc
Statement of financial position
As at 31 December 20X2

	20X2 £'000	20X1 £'000
ASSETS		
Non-current assets		
Property, plant and equipment	6,579	4,572
	6,579	4,572
Current assets		
Inventories	318	306
Trade receivables	492	567
Cash and cash equivalents	591	573
	1,401	1,446
Total assets	7,980	6,018
EQUITY AND LIABILITIES		
Equity		
Share capital	2,628	2,400
Share premium	246	240
Revaluation surplus	1,140	-
Retained earnings	474	372
Total equity	4,488	3,012
Non-current liabilities		
Debentures	3,000	2,550
Total non-current liabilities	3,000	2,550
Current liabilities		
Trade payables	213	234
Income taxes payable	249	198
Other payables	30	24
Total current liabilities	492	456
Total liabilities	3,492	3,006
Total equity and liabilities	7,980	6,018

Southampton plc Statement of profit or loss
For the year ended 31 December 20X2

	£'000
Revenue	7,590
Cost of sales	(5,580)
Gross profit	2,010
Selling expenses	(186)
General and administrative expenses	(228)
Operating profit	1,596
Profit before financing and income taxes	1,596
Interest expense on borrowings	(570)
Profit before income taxes	1,026
Income tax expense	(549)
Profit for the period	477

You are also given the following information:

- Cost of sales includes the depreciation charge of £501,000.
- A machine which had originally cost £360,000 and had a carrying amount of £72,000 was sold at a loss of £42,000. This loss is included in the cost of sales.
- There was a revaluation increase on property of £1,140,000 on 1 January 20X2. Southampton does not make annual transfers from the revaluation surplus to retained earnings.
- A bonus issue of 360,000 £0.50 ordinary shares was made from retained earnings.
- Other payables include accrued interest expenses of £21,000 (20X1: £6,000).

Question 2

Glen Ltd

You are the financial controller of Glen Ltd (Glen), a clothing manufacturer. You are constructing the statement of cash flows for the year ended 31 October 20X1 in accordance with IFRS Accounting Standards.

Extracts from the statement of financial position as at 31 October 20X1 and the statement of profit or loss for the year then ended are provided in the appendix, along with other relevant information.

Required:

Construct, showing all workings, extracts of the investing activities and financing activities sections of the statement of cash flows for the year ended 31 October 20X1 in accordance with IAS 7.

(17 marks)

Appendix – Information relevant to the statement of cash flows

Glen Ltd
Statement of financial position extracts
As at 31 October

	20X1 £'000	20X0 £'000
ASSETS		
Non-current assets		
Property, plant and equipment	51,380	38,268
	51,380	38,268
Current assets		
Investments	240	100
Cash and cash equivalents	3992	224
EQUITY AND LIABILITIES		
Equity		
Share capital	36,000	30,000
Share premium	5,800	-
Retained earnings	29,372	18,548
Total equity	71,172	48,548
Non-current liabilities		
Lease liabilities	616	528
Current liabilities		
Trade and other payables	20,748	20,076
Lease liabilities	320	260

Glen Ltd
Statement of profit or loss extract
For the year ended 31 October 20X1

	£'000
General and administrative expenses	(40,944)
Dividend income	20
Interest income on investments in bonds	12
Interest expense on lease liabilities	(212)

You are also given the following information:

Property, plant and equipment

The depreciation charge for the year was £12,896,000. During the year, property, plant and equipment with a carrying amount of £304,000 was sold at a loss of £60,000. Of the additions to property, plant and equipment during the year, right-of-use assets of £520,000 were capitalised. Right-of-use assets are presented within property, plant and equipment. The corresponding lease liability was accounted for correctly.

Investments

The current asset investments are in shares and bonds of listed companies and are not cash equivalents.

Investments in shares are classified as measured at fair value through profit or loss. A fair value increase of £40,000 is presented in general and administrative expenses.

Investments in bonds are classified as measured at amortised cost. Effective and nominal interest are equal. There were no disposals of shares or bonds in the year. Interest income comprises £12,000 of interest received on bonds.

Other information

Included in trade and other payables are accrued interest expenses of £28,000 (20X0: £20,000).

On 1 August 20X1, Glen issued 6,000,000 £1 ordinary shares for a cash consideration of £2 per share. Glen opted to write off the £200,000 of issue costs to share premium. Dividends of £8,000,000 were declared and paid during the year.

Question 3

Aqua Ltd

You are the financial controller of Aqua Ltd (Aqua) responsible for constructing the consolidated statement of cash flows for the year ended 31 December 20X3 in accordance with IFRS Accounting Standards. The consolidated statement of financial position as at 31 December 20X3 and the consolidated statement of profit or loss for the year then ended, along with relevant notes, are provided in the appendix.

Required:

Construct, showing all workings, Aqua's consolidated cash flow statement for the year ended 31 December 20X3 in accordance with IAS 7, using the indirect method.

(29 marks)

Appendix – Consolidated financial statements

Aqua Ltd
Consolidated statement of financial position
As at 31 December 20X3

	Note	20X3 £'000	20X2 £'000
ASSETS			
Non-current assets			
Property, plant and equipment	1	11,450	8,550
Goodwill		2,000	0
Investment in associate	2	4,420	4,000
		17,870	12,550
Current assets			
Inventories		3,000	1,050
Trade receivables		2,000	1,300
Investments		1,252	100
Cash and cash equivalents		5,720	1,752
		11,972	4,202
Total assets		29,842	16,752
EQUITY AND LIABILITIES			
Equity			
Share capital	3	8,000	6,000
Share premium	3	4,000	2,000
Retained earnings	3	7,136	2,532
		19,136	10,532
Non-controlling interests		630	450
Total equity		19,766	10,982
Non-current liabilities			
Loans payable		6,000	3,500
Deferred tax		134	145
Total non-current liabilities		6,134	3,645
Current liabilities			
Dividends payable		325	184
Bank overdrafts		250	200
Trade and other payables		3,225	1,532
Accrued interest expense		142	209
Total current liabilities		3,942	2,125
Total liabilities		10,076	5,770
Total equity and liabilities		29,842	16,752

Aqua Ltd
Consolidated statement of profit or loss
For the year ended 31 December 20X3

	£'000
Group operating profit	10,529
Share of profit of associate	500
Profit before financing and income taxes	**11,029**
Interest expense	(529)
Profit before income taxes	10,500
Income tax expense	(4,200)
Profit for the period	**6,300**
Attributable to:	
Owners of the parent	5,804
Non-controlling interest	(496)
	6,300

Notes

Note 1

	Land and Property £'000	**Plant and equipment £'000**	**Total £'000**
Cost or valuation			
At 1 January 20X3	4,500	6,000	10,500
Subsidiary acquired (Note 4)	3,000	1,000	4,000
Additions	200	300	500
Disposals	0	(700)	(700)
At 31 December 20X3	7,700	6,600	14,300
Accumulated depreciation			
At 1 January 20X3	750	1,200	1,950
Charge for the year	150	350	500
Subsidiary acquired (Note 4)	750	350	1,100
On disposal	0	(700)	(700)
At 31 December 20X3	1,650	1,200	2,850
Carrying amount			
At 31 December 20X3	6,050	5,400	11,450
At 1 January 20X3	3,750	4,800	8,550

The gain on the disposed equipment was £50,000

Note 2

The investment in associate balance comprised:

	20X3 £'000	**20X2 £'000**
At 1 January	4,000	3,750
Share of associate's profit	500	250
Dividends received	(80)	0
	4,420	4,000

The total dividend distributed by the associate was £400,000.

Note 3

	Share capital £'000	Share premium £'000	Retained earnings £'000
At 1 January 20X3	6,000	2,000	2,532
Issue for cash	2,000	2,000	0
Profit for the period	0	0	5,804
Dividends paid	0	0	(1,200)
At 31 December 20X3	8,000	4,000	7,136

Note 4

Acquisition of subsidiary undertaking

During 20X3, Aqua purchased 90% of Sigma Ltd for £5,000,000, acquiring the following net assets:

	£'000
Property, plant and equipment	2,900
Trade receivables	3,750
Inventories	1,800
Cash and cash equivalents	750
Trade payables	(1,800)
Long-term loans	(4,000)
Deferred taxation	(565)
	2,835

Goodwill arising on acquisition was £2,376,000 with non-controlling interest measured at their fair value of £211,000.

Question 4

Eragon Ltd

You are the financial accountant of the Eragon Group (Eragon), responsible for constructing its consolidated statement of cash flows for the year ended 31 December 20X3 in accordance with IFRS Accounting Standards.

Eragon had a number of subsidiaries at 1 January 20X3. It purchased all the ordinary shares of Arya Ltd (Arya) on 30 March 20X3 for a cash consideration of £5,000,000. Arya's net assets at the date of acquisition are included in the appendix notes.

The Eragon consolidated statement of profit or loss for the year ended 31 December 20X3 as well as the consolidated statement of financial position as at that date and relevant notes are provided in the appendix.

Required:

1. Construct, showing all workings, Eragon's consolidated cash flow statement for the year ended 31 December 20X3 in accordance with IAS 7, using the indirect method.

(31 marks)

2. Construct the disclosure note that is required under IAS 7 in respect of the acquisition of Arya by Eragon for the year ended 31 December 20X3.

(4 marks)

Total marks (35 marks)

Appendix – Consolidated financial statements

Eragon Ltd
Consolidated statement of profit or loss
For the year ended 31 December 20X3

	20X3
	£'000
Revenue	12,050
Cost of sales	(4,313)
Gross profit	7,737
Net operating expenses	(1,500)
Operating profit	6,237
Interest income	452
Profit before financing and income taxes	6,689
Interest expense	(365)
Profit before income taxes	6,324
Income tax expense	(1,897)
Profit for the period	**4,427**
Profit attributable to:	
Non-controlling interest	(427)
Owners of the parent	4,000

Eragon Ltd
Consolidated statement of financial position
For the year ended 31 December 20X3

		20X3 £'000	20X2 £'000
ASSETS			
Non-current assets			
Property, plant and equipment		17,688	13,500
Intangible assets		6,500	6,720
		24,188	20,220
Current assets			
Inventories		10,581	6,506
Trade receivables		8,652	12,000
Cash and cash equivalents		4,619	2,058
		23,852	20,564
Total assets		48,040	40,784
EQUITY AND LIABILITIES			
Equity			
Share capital		7,000	7,000
Share premium	3	14,000	14,000
Retained earnings	3	9,375	5,875
		30,375	26,875
Non-controlling interests		450	300
Total equity		30,825	27,175
Non-current liabilities			
Long-term bank loans		6,800	1,200
Lease obligations		3,000	5,800
Total non-current liabilities		9,800	7,000
Current liabilities			
Bank overdraft		450	100
Trade and other payables		6,565	2,559
Lease obligations		300	450
Income taxes payable		100	3,500
Total current liabilities		7,415	6,609
Total liabilities		17,215	13,609
Total equity and liabilities		48,040	40,784

Notes

1. Arya's net assets at the date of acquisition were:

	£'000
Property plant and equipment	4,325
Inventory	1,800
Trade receivables	2,700
Cash and cash equivalents	58
Trade and other payables	(2,790)
Non-current loans	(1,393)
	4,700

2. Eragon disposed of property, plant and equipment with a carrying amount of £100,000. A profit of £350,000 was made on the disposal and was included in net operating expenses. Depreciation of £1,287,000 was also included in net operating expenses.
3. There were no disposals of intangible assets. Impairment and amortisation charges for the year were £520,000, including the impairment of goodwill, and were included in net operating expenses.
4. Trade and other payables include accrued interest expenses of £15,000 (20X2: £78,000) and dividends payable of £50,000 (20X2: £300,000).

Question 5

Taylor plc

You are the accountant of Taylor plc (Taylor) responsible for preparing the consolidated statement of cash flows for the year to 31 March 20X3 in accordance with IFRS Accounting Standards.

You are working on the operating activities section of the group statement of cash flows. Relevant information is provided in the appendix.

Required:

Construct, showing all workings, the extract from the operating activities section of the consolidated statement of cash flows for the year to 31 March 20X3 in accordance with IAS 7 *Statement of Cash Flows.* Taylor uses the indirect method to present operating activities.

(12 marks)

Appendix – Information relevant to operating activities

1. Extracts from the group statement of profit or loss for the year to 31 March 20X3:

	£'000
Operating profit	1,254
Interest income	225
Profit before financing and income taxes	1,479
Interest expense on	(140)
Profit before income taxes	1,339
Income tax expense	(231)
Profit for the period	1,108

2. Details of current assets are:

	31 March 20X3 £'000	31 March 20X2 £'000
Inventories	695	728
Trade and other receivables	1,489	1,290
Cash and cash equivalents	712	598

3. Details of current liabilities:

	31 March 20X3 £'000	31 March 20X2 £'000
Trade and other payables	1,047	912
Income taxes payable	238	147

4. Operating profit includes the following:

	£'000
Depreciation	
- Property, plant and equipment	376
- Right-of-use assets	52
Short-term lease of plant and equipment	65
Loss on sale of property, plant and equipment	73

5. On 1 November 20X2, Taylor acquired 100% of the ordinary share capital of RL Ltd (RL) for £350,000. At 1 November 20X2, the statement of financial position of RL included the following:

	£'000
Property, plant and equipment	240
Inventories	45
Trade and other receivables	61
Trade and other payables	52
Bank overdraft	6
Income taxes payable	10

Question 6

Short plc

You are the assistant accountant of Short plc (Short), a parent company that has a number of subsidiary companies. The group accountant has asked you to construct the financing activities extract from the group statement of cash flows for the year to 31 March 20X3 in accordance with IAS 7 Statement of Cash Flows.

Extracts from the consolidated statement of profit or loss of the Short group for the year to 31 March 20X3 and the consolidated statement of financial position for the year at that date and for the previous year are included in Appendix 1. Additional information is provided in Appendix 2.

Required:

Construct, showing all workings, the extract from the financing activities section of the consolidated statement of cash flows for the year ended 31 March 20X3 in accordance with IAS 7.

(15 marks)

Appendix 1

Consolidated statement of profit or loss (extracts)
For the year ended 31 March 20X3

	£000
Operating profit	21,300
Share of profit of associate	140
Profit before financing and income taxes	21,440
Interest expense	(1,350)
Profit before income taxes	20,090
Income tax expense	(6,840)
Profit for the period	13,250
Profit attributable to:	
Non-controlling interests	250
Owners of the parent	13,000

Consolidated statement of financial position (extracts)

As at 31 March 20X3	**20X3**	**20X2**
Equity	£000	£000
Share capital	8,750	9,000
Share premium	3,000	2,000
Capital redemption reserve	500	-
Retained earnings	10,625	6,850
	22,875	17,850
Non-controlling interests	600	500
	23,475	18,350
Non-current liabilities		
Loan	1,440	2,000
Provisions	2,600	1,800
	4,040	3,800
Current liabilities		
Trade payables	2,150	2,250
Loans payable	500	500
Accrued interest expense	7,970	6,810
Accruals	475	350
	11,095	9,910
Total liabilities	15,135	13,710
Total equity and liabilities	38,610	32,060

Appendix 2 – Additional information

Purchase of subsidiary

During the year to 31 March 20X3, Short acquired 100% of the ordinary share capital of Hoon Ltd (Hoon). At the date of acquisition, Hoon had the following balances:

	£000
Property, plant and equipment	3,100
Inventories	190
Trade receivables	250
Trade payables	(300)
Accrued interest expense	(10)
Cash	60

Short paid a total of £3,290,000 for the 100% holding. The purchase price was made up of 500,000 £0.50 ordinary shares with a market value of £2.50 each with the balance being paid in cash.

Repurchase of shares

In February 20X3 Short repurchased 1,000,000 of its £0.50 shares at £2.40. Shares were originally issued at par. There was no fresh issue associated with the repurchase.

Dividends

Short, the holding company, paid dividends of £6,975,000 during the year to 31 March 20X3.

Question 7

Folders plc

You are the financial accountant of Folders plc (Folders). Folders is the parent company of a group containing wholly owned subsidiaries and one associated company, Filers Ltd (Filers), in which it has held an investment for several years. During the year, Folders increased its investment in Filers and acquired a new wholly owned subsidiary, Cutters Ltd (Cutters).

Extracts from the consolidated statement of profit or loss for the year ended 31 July 20X3 and the consolidated statement of financial position as at that date are included in Appendix 1.

Other relevant information is set out in Appendix 2.

Required:

Construct, showing all workings, the extract from the investing activities section of consolidated statement of cash flows for the year to 31 March 20X3 in accordance with IAS 7.

(17 marks)

Note: Ignore VAT. Comparative figures are not required.

Appendix 1 – Consolidated financial statements Folders Group

Consolidated statement of profit or loss extracts For the year ended 31 July 20X3

	£'000
Operating profit	3,898
Share of profit of associate	230
Interest income	126
Profit before financing and income taxes	4,254
Interest expense	(340)
Profit before income taxes	3,914
Income tax expense	(1,600)
Profit for the period	**2,314**
Profit attributable to:	
Owners of the parent	1,889
Non-controlling interests	425
	2,314

Appendix 2 – Other financial information

1. On 1 November 20X2, 100% of Cutters was acquired by the issue of 1,200,000 ordinary shares of £1 each at a premium of 50p per share and £175,000 in cash. The carrying amounts of Cutters' assets and liabilities acquired at 1 November 20X2 were as follows:

	£000
Intangible assets	310
Property, plant and equipment	1,550
Inventories	365
Trade receivables	480
Cash and cash equivalents	60
Trade payables	(655)
Accruals	(135)
	1,975

   No fair value adjustments were required and no share issue expenses were incurred.

2. Patents were acquired by Folders during the year at a cost of £40,000. The amortisation charge for the year for all intangible assets was £165,000.
3. Additions to property, plant and equipment included new right-of-use assets with an initial cost of £228,000, which were acquired under a lease. Folders disposed of old equipment, which had a carrying amount of £458,000, and realised a gain on disposal of £45,000. The remaining PPE assets were revalued at 31 July 20X3 and a gain of £208k was recognised. Folders does not make an annual transfer from its revaluation surplus. Depreciation of £1,553,000 was charged in the year.
4. On 1 August 20X2, Folders purchased additional share capital in Filers for £377,000. Filers remained Folders' only associate throughout the year.
5. At 31 July 20X3, trade and other receivables included accrued income of £648,000 of which £47,000 was interest receivable. At 31 July 20X2, accrued income was £375,000, with accrued interest income being £23,000.
6. Investment property was revalued at the year end and a gain of £220k was recognised.